

Table 9.8 Strategy Summary Statistics (1/1976–12/1991)

	DIY BAL_RM	DIY MOD_RM	DIY AGG_RM	IVY5 MA	60/40
CAGR	15.27%	15.58%	16.08%	13.46%	13.38%
Standard Deviation	8.25%	9.15%	10.65%	8.20%	11.91%
Downside Deviation (MAR = 5%)	7.83%	8.79%	9.91%	7.15%	7.90%
Sharpe Ratio	0.82	0.78	0.73	0.63	0.46
Sortino Ratio (MAR = 5%)	1.23	1.14	1.07	1.12	1.05
Worst Drawdown	–12.03%	–15.17%	–18.49%	– 11.06%	– 19.46%
Worst Month Return	–11.55%	–14.37%	–17.38%	– 10.37%	– 13.14%
Best Month Return	7.23%	8.97%	11.00%	7.37%	9.70%
Profitable Months	78.13%	78.13%	76.56%	75.52%	63.54%

The findings in [Table 9.8](#) highlight the robustness of the modified DIY system. The DIY portfolios outperform the other alternatives out of sample. That said, all of these solutions are strong: The Ivy 5 and the 60/40 portfolio continue their strong performance with strong annual growth rates and risk-adjusted statistics.

Finish Strong: The Ultimate DIY Solution

Thus far, we've outlined a solid approach to managing a pool of capital. Our solution is highly sophisticated, but not overly complex. We've taken a baseline diversified portfolio construct (i.e., the Ivy 5), added some well-established security selection benefits (value and momentum), and applied some robust market-timing mechanisms to risk-manage the DIY portfolio.